Subject Name :Entrepreneurship Development

Unit No: 1

Unit Name : Introduction to Entrepreneurship

Faculty Name : Dr. Supriya Kamale

Syllabus

Unit 1: Introduction to Entrepreneurship

- -Introduction to Entrepreneur
- -Entrepreneurial skills and competencies
- -Economic Role of the Entrepreneur
- -Introduction to Entrepreneurship
- -Importance of Entrepreneurship to Economy
- -Problems faced by entrepreneurs in India
- -Future of entrepreneurship in India

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Unit 2 :Types and Classification of Entrepreneurs and Enterprise

- -Types and Classification of Entrepreneurs
- -Concept of Intrapreneur
- -Concept of Women entrepreneur
- -Concept of Social Entrepreneurship
- - Rural Entrepreneurship
- - Family Business Entrepreneurship
- -Types of Enterprise

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Unit 3 : Funding and Institutional Support to an Entrepreneur

- Government policies and schemes for enterprise development.
- Institutional support to an entrepreneurial development
- Training for entrepreneurship development, Entrepreneurial Development Program (EDP)
- Incubation, Role of Incubation Centers
- Role of Mentors in promoting Entrepreneurs

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Unit 4: Entrepreneurial Project Development (Business Plan)

- Process of generating business ideas, Techniques for idea generation.
- Environmental Scanning and opportunity identification (SWOT and PESTEL analysis), Introduction to IPR
- Business Planning and Feasibility study-
- Meaning & importance of Business Plan, Elements of Business Plan, Meaning of Feasibility study, Purpose of Feasibility study, Types of Feasibility study, Benefits of conducting feasibility study

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Unit – 5- Business Model – A tool for tech start ups

- Purpose of a Business Model,
- Popular Tool: Business Model Canvas (BMC), Steps to Prepare a Business Model, Use in Business Planning

-Recent Trends in Techno-Entrepreneurship

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Unit - 6 Skills for Successful Entrepreneurs & Case Studies:

- communication skills, creativity & problem-solving, innovation, negotiation, leadership & teamwork skills;
- risk management strategies;
- case studies of successful Indian & global entrepreneurs;
- lessons learned from failures and success stories.

Reference Books

- Dynamics of Entrepreneurship Development – Vasant Desai.
- Entrepreneurship: New Venture Creation – David H. Holt
- Entrepreneurship Development New Venture Creation – Satish Taneja, S.L.Gupta
- Project management – K. Nagarajan.
- Entrepreneurship Development and small business management – Poornima M. Charantimath
- Innovation and Entrepreneurship – Peter F. Drucker

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Course Learning Objectives

1. Understand the fundamental concepts of entrepreneurship, the role of entrepreneurs, and their contribution to economic development in India.
2. Identify and differentiate various types of entrepreneurs and enterprises, with special focus on technology, social, women, rural, and family-based entrepreneurship.
3. Analyze government policies, institutional support systems, funding mechanisms, and incubation facilities available for entrepreneurial development in India.
4. Develop entrepreneurial projects by applying idea generation techniques, environmental scanning tools, feasibility analysis, and business planning concepts.
5. Design technology-driven business models using modern tools and apply entrepreneurial skills through real-world case studies of successful and failed ventures.

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Concept of Entrepreneur

- Basically an entrepreneur is a person responsible for setting up a business or an enterprise.
- He has the initiative , skill for innovation and who looks for high achievements.
- He puts up new green field projects that create wealth, open up many employment opportunities and leads to growth of other sectors .

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Introduction to Entrepreneurship

Entrepreneurship can be described as a process of action an entrepreneur undertakes to establish his enterprise.

Entrepreneurship is the process of creating something different with value by devoting the necessary time and effort, assuming the accompanying financial, psychic, social risks, and receiving the resulting rewards of monetary and personal satisfaction and independence.

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BASIS FOR COMPARISON	BUSINESSMAN	ENTREPRENEUR
Meaning	A businessman is someone who sets up a business with an existing idea offering products and services to the customers.	An entrepreneur is a person who starts an enterprise with a new idea or concept, undertaking commercial activities.
Market Position	Market Player	Market Leader
Market	Creates place in existing markets	Creates new market
Risk factor	Less	Comparatively high
Methods applied for doing things	Conventional	Unconventional
Orientation	Profit	People
Competition	Very high	Low

Emergence of Entrepreneurial class

- The term Entrepreneur first appeared in the French language and was applied to leaders of military expeditions in the beginning of the 16th century.

- Richard Cantillion , an Irishman living in France was the first person to use the term Entrepreneur to refer to economic activities. He defined Entrepreneur as a person who buys factor services at certain prices for selling his product at uncertain prices in future. He viewed an Entrepreneur as a bearer of non insurable risk.

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Emergence of Entrepreneurial class Contd……

- Entrepreneurial class came into being in 17th century
- Invention of Steam Engine resulted in Industrial revolution (1769).
- It changed small scale production to large scale production.
- Due to this Industrial revolution, the Agrarian society in Europe got transformed into Industrial society.
- The European society was mainly dominated by Artisans and Peasants and they witnessed large scale production.
- A group of people mainly traders took risk for large scale production and they were called Entrepreneurs.

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Emergence of Entrepreneurial class Contd……

- Due to large scale production the Entrepreneurs had surplus matter available with them. They needed market to get their product absorbed.
- As Britain had colonies all over the world so they marketed their products to other countries. This is how Entrepreneurship originated.
- The origin of emergence of entrepreneurial class lies in Industrial revolution.
- The concept of entrepreneurship originated from Europe and then propagated to different parts of the world.

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Emergence of Entrepreneurial class Contd……

- The entrepreneurs largely emerged from Trading community.
- The entrepreneurs were mainly Outsiders who settled away from their country of origin.

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Latest Concept on Entrepreneur

- Perceives opportunities for profitable investment
- Arranges capital
- Provides personal guarantees.
- Supplies technical know how.

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What is Entrepreneurship Development

Entrepreneurship development is concerned with the study of entrepreneurial behaviour, the dynamics of business set-up, development and expansion of the enterprise.

Entrepreneurship development refers to the process of enhancing entrepreneurial skills and knowledge through structural training and institution-building program.

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Class Discussion on Economic Role of the Entrepreneur and future of entrepreneurship in India

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ROLES OF ENTREPRENEURSHIP IN ECONOMIC DEVELOPMENT OF A COUNTRY

1. **Wealth Creation and Sharing:**

   By establishing the business entity, entrepreneurs invest their own resources and attract capital (in the form of debt, equity, etc.) from investors, lenders and the public. This mobilizes public wealth and allows people to benefit from the success of entrepreneurs and growing businesses. This kind of pooled capital that results in wealth creation and distribution is one of the basic imperatives and goals of economic

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2. Create Jobs:

Entrepreneurs are by nature and definition job creators, as opposed to job seekers. The simple translation is that when you become an entrepreneur, there is one less job seeker in the economy, and then you provide employment for multiple other job seekers. This kind of job creation by new and existing businesses is again is one of the basic goals of economic development. This is why the Govt. of India has launched initiatives such as *StartupIndia* to promote and support new startups, and also others like the *Make in India* initiative to attract foreign companies and their FDI into the Indian economy. All this in turn creates a lot of job opportunities, and is helping in augmenting our standards to a global level

ROLES OF ENTREPRENEURSHIP IN ECONOMIC DEVELOPMENT OF A COUNTRY

3. Balanced Regional Development: Entrepreneurs setting up new businesses and industrial units help with regional development by locating in less developed and backward areas. The growth of industries and business in these areas leads to infrastructure improvements like better roads and rail links, airports, stable electricity and water supply, schools, hospitals, shopping malls and other public and private services that would not otherwise be available.

Every new business that locates in a less developed area will create both direct and indirect jobs, helping lift regional economies in many different ways. The combined spending by all the new employees of the new businesses and the supporting jobs in other businesses adds to the local and regional economic output. Both central and state governments promote this kind of regional development by providing registered MSME businesses various benefits and concessions.

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4. GDP and Per Capita Income:

India's MSME sector, comprised of 36 million units that provide employment for more than 80 million people, now accounts for over 37% of the country's GDP. Each new addition to these 36 million units makes use of even more resources like land, labor and capital to develop products and services that add to the national income, national product and per capita income of the country. This growth in GDP and per capita income is again one of the essential goals of economic development.

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5. Standard of Living:

Increase in the standard of living of people in a community is yet another key goal of economic development. Entrepreneurs again play a key role in increasing the standard of living in a community. They do this not just by creating jobs, but also by developing and adopting innovations that lead to improvements in the quality of life of their employees, customers, and other stakeholders in the community. For example, automation that reduces production costs and enables faster production will make a business unit more productive, while also providing its customers with the same goods at lower prices.

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6. Exports:

Any growing business will eventually want to get started with exports to expand their business to foreign markets. This is an important ingredient of economic development since it provides access to bigger markets, and leads to currency inflows and access to the latest cutting-edge technologies and processes being used in more developed foreign markets. Another key benefit is that this expansion that leads to more stable business revenue during economic downturns in the local economy.

7. Community Development:

Economic development doesn't always translate into community development. Community development requires infrastructure for education and training, healthcare, and other public services. For example, you need highly educated and skilled workers in a community to attract new businesses. If there are educational institutions, technical training schools and internship opportunities, that will help build the pool of educated and skilled workers.

A good example of how this kind of community development can be promoted is Azim Hashim Premji, Chairman of Wipro Limited, who donated Rs. 27,514 crores for promoting education through the Azim Premji Foundation. This foundation works with more than 350,000 schools in eight states across India.

Future of Entrepreneurship in India

- The business world is dynamic. The global markets are not only dealing in Indian entrepreneurial markets but also they are investing with them.

- The Government of India promoted and supported small and medium-sized enterprises (SMEs) in India by establishing clusters across the country. District Industry Centres were established in all major cities and towns of India. Cottage industries were established and promoted through various support programs under the Khadi and Village Industries Commission.

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Future of Entrepreneurship in India

- Besides government initiatives, many private organizations are helping build the entrepreneurial ecosystem and related support services. A number of private incubators and accelerators have entered the field in the past few years, though most of these are located in the main technology hubs of the country such as Delhi-NCR, Mumbai, Bangalore, Pune, Hyderabad, Chennai, Kolkata, leaving a lot of scope for penetration to less prominent cities and towns.

- Technology plays a crucial role in the future of entrepreneurship. Entrepreneurs have the chance to do both strategic planning and administrative work for their business. They can get involved in all sides of their business because the Internet makes it possible to do so.

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Future of Entrepreneurship in India

- Social media, for instance, is indispensable to any business, in any industry, as it offers a range of business benefits both internally, within a company, and externally, between a company and other nodes of the business, such as clients or suppliers. It will also be moving from an era of multinational businesses to one of the global small business. This means that anyone, wherever that person is located, can build a successful business if online tools are properly optimized.

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Introduction to Entrepreneur, the skills required to be an entrepreneur

Imp definitions of Entrepreneur

According to Peter F. Drucker

Entrepreneur as one who always searches for change, respond to it as an opportunity. Innovation is the basic tool of entrepreneurs, the means by which they exploit changes as an opportunity for different business or service.

According to Joseph Schumpeter

Entrepreneur is one who innovates, raises money, assembles inputs, chooses manages and sets the commercial organisation going with his ability to identify them and opportunities which others are not able to identify and is able to fulfill such economic opportunities.

Features/Characteristics of an Entrepreneur

- Innovator
- Motivation towards achievement
- Ability to handle uncertainty
- Moderate risk taker
- Skill of organising
- Goal oriented
- Desire for responsibility
- Emotional stability and self-control
- Communication ability

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Features/Characteristics of an Entrepreneur contd……

- Future orientation
- Commitment and dedication
- High level of energy
- Flexibility
- Technical knowledge
- Mental ability
- More than a Manager
- Problem solver and a decision maker
- Desire for immediate feedback
- Human relation ability

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Qualities of Successful Entrepreneur

- Moderate risk taking
- Hard work
- Accountability
- Educated in real sense
- Analytical mind
- Dynamic leadership
- Presence of mind
- Accommodative

Qualities of Successful Entrepreneur Contd……

- Courageous and tactful
- Maker of right decision
- Foresighted
- Right perception of things
- Enjoy simple life
- Strong desired to success
- Innovation
- Self-confidence

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Qualities of Successful Entrepreneur Contd……

- Goal setting
- Keen observation
- Sociable
- Team builder
- Clean understanding
- Ability to conceptualize
- Other

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Functions of an Entrepreneur

- Idea generation
- Determination of business objectives
- Raising of funds
- Procurement of machines and materials
- Market research
- Determining form of enterprise
- Recruitment of manpower
- Implementation of the project

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Traits of Good Entrepreneur

- Initiation
- Watching for opportunity
- Persistence
- Information seeker
- Quality conscious
- Commitment to work
- Efficiency lover

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Traits of Good Entrepreneur contd……

- Proper planning
- Self-confidence
- Assertiveness
- Persuasion
- Efficient monitoring
- Concern of employees

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Introduction to Entrepreneurship

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Definitions of Entrepreneurship

According to PETER DRUCKER, Entrepreneurship defined as a ‘systematic innovation, which consists in the purposeful and organised search for changes, and it is the systematic analysis of the opportunities such changes might offer for economic and social innovation’.

According to Schumpeter, Entrepreneurship is an innovative function. It is a leadership rather than an ownership.

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Nature and Characteristics of Entrepreneurship

- Innovation
- High Achievement
- Managerial Skill and Leadership
- Group Level Pattern
- Organization Building
- Gap Filling Function
- Status Withdrawal
- A Function of Social, Political and Economic Structure

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Difference between Entrepreneur and Entrepreneurship

Entrepreneur	Entrepreneurship
Who undertakes and operates a new enterprise	It is the practice of starting new organisations
Entrepreneur is often synonymous with founder	Entrepreneurship ranges in scale from solo projects to major undertakings
Who starts and operates a business enterprise	Process in which an entrepreneur starts and operates his business enterprise
Co-ordinator	coordination
The person who innovates something new	The innovation of something new or the process of innovation
Who leads an enterprise towards its vision through leadership, motivation	The way in which an entrepreneur leads his manpower, motivates them for the achievement
Who bears risk of the firm for the sake of making a reasonable profit	The risk bearing practice that is done by an entrepreneur

Advantages of Entrepreneurship- To an Individual

- Provides self employment for the entrepreneur
- Entrepreneurship often provides an employment and livelihood for next generations as well
- Freedom to use own ideas – innovation and creativity
- Unlimited income
- Independence
- Satisfaction

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Advantages – To the nation

- Provides Larger employment
- Results in wider distribution of goods and services
- Mobilize local resources, skills and savings
- Accelerates the pace of economic
- Stimulates innovation and efficiency

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Importance of Entrepreneurship - To an Economy

- Growth of Entrepreneurship.
- Creation of job opportunities.
- Innovation.
- Impact on community development.
- The consequence of business failure.
- Spawns entrepreneurship
- Enhances the standard of living
- Promotes research and development

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Importance of Entrepreneurship - To an Economy

1. **Growth of Entrepreneurship**

Entrepreneurship the advent of new venture particularly small ventures to materialize the innovative ideas of the entrepreneurs.

Thus, the growth or establishment of small enterprises ii the specific contribution of entrepreneurship in every economy of the world.

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Importance of Entrepreneurship - To an Economy

2. Creation of job opportunities

Entrepreneurship firms contributed a large share of new jobs. It provides entry-level jobs so necessary fur training or gaining experience for unskilled workers.

The small enterprises are the only sector that generates a large portion of total employment every year.

Moreover, entrepreneurial ventures prepare and supply experienced labor to large industries.

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Importance of Entrepreneurship - To an Economy

3. Innovation

Entrepreneurship is the incubator of innovation. Innovation creates disequilibria in the present state of order.

It goes beyond discovery and does implementation and commercialization, of innovations.

“Leapfrog” innovation, research, and development are being contributed by entrepreneurship.

Thus, entrepreneurship nurses innovation that provides new ventures, products, technology, market, quality of good, etc. to the economy that increases Gross Domestic Products and standard of living of the people.

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Importance of Entrepreneurship - To an Economy

4. Impact on community development

A community is better off if its employment base is diversified among many small entrepreneurial firms.

It promotes abundant retail facilities, a higher level of homeownership, fewer slums, better, sanitation standards and higher expenditure on education, recreation, and religious activities.

Thus, entrepreneurship leads to more stability and a higher quality of community life.

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Importance of Entrepreneurship - To an Economy

6. Spawns entrepreneurship

Entrepreneurship is the nursing ground for new inexperienced adventurists.

It is the field where a person can start his/her idea of the venture, which may be ended up in a giant enterprise. All the large industrial ventures started as a small entrepreneurial enterprise.

Therefore, entrepreneurship provides a wide spectrum of ventures and entrepreneurs in every economy. The vast open arena of entrepreneurship thus acts as an incubator to entrepreneurs.

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Importance of Entrepreneurship - To an Economy

7. Enhances the standard of living

The standard of living is a concept built on an increase in the amount of consumption of a variety of goods and services over a particular period by a household.

So it depends on the availability of diversified products in the market. Entrepreneurship provides enormous kinds of a product of various natures by their innovation.

Besides, it increases the income of the people who are employed in entrepreneurial enterprises.

That also capable employed persons to consume more goods and services. In effect, entrepreneurship enhances the standard of living of the people of a country.

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Importance of Entrepreneurship - To an Economy

8. Promotes research and development

Entrepreneurship is innovation and hence the innovated ideas of goods and services have to be tested by experimentation.

Therefore, entrepreneurship provides funds for research and development with universities and research institutions. This promotes the general development, research, and development in the economy.

Entrepreneurship is the pioneering zeal that provides events in our civilization.

We are indebted to it for having prosperity in every arena of human life- economic, technological and cultural.

The above discussion, in a nutshell, enumerates that tremendous' contributions of entrepreneurship.

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Problems faced by entrepreneurs in India

1. Financial Problems

- Difficulty in raising capital, especially for startups.
- Limited access to bank loans due to lack of collateral.
- High interest rates.
- Delay in payments from customers.

2. Bureaucratic and Legal Formalities

- Complex registration procedures.
- Multiple licenses and approvals required.
- Changing government policies.
- Compliance burden (GST, tax filings, labor laws).

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-Problems faced by entrepreneurs in India

3. Lack of Infrastructure

- Poor transportation and logistics in some regions.
- Irregular power supply.
- Limited access to modern technology in rural areas.

4. Marketing Problems

- Tough competition from established brands.
- Lack of brand recognition.
- Limited advertising budget.
- Difficulty in understanding consumer behavior.

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-Problems faced by entrepreneurs in India

5. Skilled Manpower Shortage

- Difficulty in hiring trained and skilled employees.
- High employee turnover.
- Lack of technical expertise.

6. Technological Challenges

- Rapid technological changes.
- High cost of adopting new technology.
- Cybersecurity risks.

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-Problems faced by entrepreneurs in India

7. Social and Cultural Barriers

- Fear of failure in society.
- Lack of family support in some cases.
- Gender discrimination (especially for women entrepreneurs).

8. Competition from Large Corporates

- Price wars.
- Economies of scale advantage with big companies.
- Difficulty in survival during market downturns.

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-Future of entrepreneurship in India

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Factors affecting Entrepreneurship Development in India

- Economic factor
- Socio-economic factor
- Personal factor
- Political
- Deregulation and Privatization
- Internal Control System
- Government Incentives and Subsidies
- Impact of Ethical Value system
- Increasing demand for variety
- Impact of services sector
- Work environment
- Easier access to resources promotes entrepreneurship
- Career transitions
- Entrepreneurial education

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Thank You

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